

The ban hammer swings rightly

India's Online Gaming Bill 2025 is the country's most assertive attempt yet to draw a bright line between permissible online play and outlawed money gaming. It recognises esports and social or educational games as legitimate digital entertainment, while clamping down on games involving monetary stakes. The government frames it as consumer protection in a fast-growing sector that has blurred the boundary between skill and chance.

When online betting expands without clear rules, the outcomes are rarely benign. From parts of Southeast Asia to the United States' patchwork early regimes, opaque products and aggressive marketing fuelled addiction, criminality and household debt. Investigations documented how features discarded as too risky in mature markets popped up in looser jurisdictions, a reminder that design choices shape harm.

India has had its own brush with unregulated platforms that masqueraded as gaming while routing users into betting funnels. Reports detail schemes where small wins prime players, then algorithmic tweaks flip the odds as stakes climb, wiping out wallets and wrecking families.

The long-running legal hair-split between "games of skill" and "games of chance" has been stretched thin by modern apps. Rummy, poker and micro-betting products often presented themselves as skill, even as their monetisation models looked indistinguishable from gambling to the average user. That ambiguity stigmatised genuine gaming communities, especially esports, and complicated the lives of local developers who build non-wager games but share the same discovery channels and app stores. The Bill attempts to resolve this by explicitly prohibiting money games, while promoting esports and social games, a policy pivot that collapses the skill-versus-chance debate.

At the heart of the harm narrative lies algorithmic opacity. Many betting-like apps use black-box systems to set odds, tune payouts and sequence near-misses. Players cannot audit fairness, and disclosures are thin. Indian



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case work has shown patterns where micro-wagers win, then higher-value bets are quietly disadvantaged. That asymmetry is precisely what the Bill says it wants to correct, although the proof will sit in the rule-making.

Unregulated money games externalise costs to families and the state: financial ruin, mental health crises, and an uptick in criminal networks that launder proceeds. Public-health analyses in India have flagged these vectors for years. Economically, the effect is a diversion of household savings into untaxed, offshore or underground circuits, with little recourse when platforms disappear.

Countries that embraced licencing frameworks offer useful contrasts. The United Kingdom pairs licencing with strict consumer protections, including identity checks, affordability interventions, clear dispute pathways and a national self-exclusion scheme, GAMSTOP, that obliges all licensees to block registered users. This regime does not eliminate harm, but it builds safety rails that can be enforced. The United States illustrates the opposite tendency: rapid legalisation geared to tax receipts, with uneven player safeguards. Investigations showed how operators dialled up features in America that they toned down in Britain, underscoring how rules shape product behaviour.

Bans reduce visibility quickly, restrict onboarding and satisfy cultural expectations. India's new law leans heavily into this instinct for money games. The cost side is familiar too: underground operators do not go away, they simply move servers abroad, retain vulnerable users, and stop paying taxes. Consumers then lose both recourse and signals of risk. That is why prohibition needs to be paired with credible enforcement against offshore operators and payment gateways.

On paper, India gains clarity. Real-money gaming is out. Esports and social or educational games are in. Regulation is neither a cure-all nor a capitulation. If India pairs prohibition of money games with a gold-standard regime for permissible gaming, the result could be empowerment for players and certainty for builders. **d**